THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH-II

NEW DELHI

CO. APPL.(CAA) 57/ND/2019

IN THE MATTER OF:

1. M/s Param Exim Limited
   Having registered office at
   21/3, Ground Floor, Near Navgriha Mandir
   New Rajinder Nagar, New Delhi-110008

Applicant No.1/Transferor Company

WITH

2. M/s KLA India Public Limited
   Having registered office at
   21/3, New Rajinder Nagar, Geeta Mandir Marg
   Near Navgriha Mandir, Delhi-110008

Applicant No.2/ Transferee Company

CORAM:
MS. INA MALHOTRA, MEMBER (JUDICIAL)
DR. V.K SUBBURAJ, MEMBER (TECHHNICAL)

PRESENT- Mr. Pradeep K. Mittal, Advocate

Order Delivered on- 04.04.2019

ORDER

PER SMT. INA MALHOTRA, MEMBER (J)

This is a joint petition filed by way of a 1st Motion under Sections 230-232 of the Companies Act, 2013 (hereinafter referred to as 'the Act') by M/s Param Exim Limited (Applicant No.1/ Transferor Company No.1) in connection with the Scheme of Amalgamation (hereinafter referred to as 'the Scheme') for merging its business with M/s KLA India Public Limited (Transferee Company/ Applicant No.2).

2. As per averments, the registered offices of the Transferor as well as that of the Transferee Company are situated in the National Capital Territory of Delhi, falling within the territorial jurisdiction of this Court.

3. The Applicant No. 1 / Transferor Company was incorporated under the Act on 2nd June, 2003 under the name and style of " Param Exim Limited " having CIN U74899 DL2003 PLC120657. Its authorized share capital is Rs. 1,50,00,000/- while its and issued, subscribed and paid up capital is Rs. 1,45,00,000/-divided into 1,45,000 equity shares of Rs. 100/-each.

The main object of Applicant No.1 Company/Transferor Company is to carry on the business of export, import, buy, sell, act as agent, trade or otherwise deal in all kinds of merchandise and other articles.

4. The Applicant No. 2 / Transferee Company was incorporated under the Act under the name and style of "KLA Rice India Public Limited". Subsequently its name has been changed a few times and is presently

operating its business under the name of "KLA India Public Limited". Certificate of incorporation dated 1st October, 2013 having CIN U 51299 DL2002 PLC171078 has been annexed alongwith.

Its authorized share capital is Rs. 23,00,00,000/- while its and issued, subscribed and paid up capital is Rs. 17,12,49 ,000/-divided into 1,71,24,900 equity shares of Rs. 10/-each.

The main object of Applicant No.2 Company/Transferee Company is engaged in business of buying, selling, importing, exporting and dealing in all varieties of rice, spices and food grains.

5. As per averments, the Transferor Company is desirous of amalgamating with the Transferee Company and have formulated a Scheme of Amalgamation.

6. The Scheme of Amalgamation is necessitated and justified on grounds that it:-

a. The Transferor and Transferee Companies are closely held group Companies under common control and management and would result in consolidation and pooling off their resources and business synergy;
b. Would enable pooling of physical, financial and human resource of these Companies for the most beneficial utilization of these factors in the combined entity;
c. Would result in usual economies of a centralized and a large company holding elimination of duplicate work, reduction in overheads, better and more productive utilization of human

and other resource and enhancement of overall business efficiency;

d. Better utilization of professional expertise and other manpower resources.

7. Copies of the Memoranda of Association and Articles of Association along with their latest audited Balance Sheets, as on 30.09.2018 and reports of the Statutory Auditors of all the Applicant Companies have been filed. The articles of each company permit entering into schemes of Amalgamation and each year.

It has also been certified by the Statutory Auditors of each of the applicant companies that the Accounting Treatment as in the Scheme is in compliance with the Accounting Standards prescribed u/s 133 of the Companies Act 2013.

8. So far as the Share Exchange Ratio is concerned, in terms of the scheme, it has been determined in accordance with the Report on Valuation of Shares & Share Exchange Ratio dated 12th October 2018, issued by Kawaljeet Singh & Co. Chartered Accountants, Rudrapur, as per the settled principles of valuation.

The approved Share Exchange Ratio is that the Transferee Company will issue Rs. 10/- each credited as fully paid up, to the members of the respective Transferor Company whose name appear in the Register of Members as on particular date(Record Date), to be fixed by the Board of Directors of the Transferee Company, in the following ratio:-

"37.77 Equity Shares of Rs. 10/- each fully paid up of the Transferee Company for every 1 Equity Share of Rs. 10/- each fully paid up held in the Transferor Company"

9. The Board of Directors of each of the applicant companies vide their respective meetings held on 12th October, 2018 have unanimously approved the proposed Scheme of Amalgamation. Copy of the board resolutions passed have been filed.

The Appointed Date of the Scheme is 1st April, 2018.

10. Vide the present application, a prayer is made for dispensation of convening meetings in view of the following facts:-

A. In respect of the Transferor Company No.1 / Applicant Company No.1:-

- It has 7 shareholders who have accorded their consent vide affidavits placed on record.
- It has no Secured creditor as certified by the Chartered Accountant.
- It has 1 Unsecured creditor who has accorded its consent vide affidavit. placed on record.

In view of the consent affidavits of its 7 shareholders and 1 unsecured creditor being on record, the requirement of convening the meeting of the shareholders and unsecured

creditor is dispensed with. Further, as there is no secured creditor, the question of convening their meeting does not arise.

B. In respect of the Transferee Company/ Applicant No.2

- It has 10 Equity Shareholders who have accorded their consent vide affidavits placed on record.
- It has 1 Secured creditor who has accorded its consent vide affidavit placed on record.
- It has 47 Unsecured creditors who have accorded their consent vide affidavits placed on record.

In view of the consent accorded by its 10 Shareholders, 1 secured and 47 unsecured creditors, the requirement of convening the meeting of the is dispensed with.

11. The proposed Scheme of Amalgamation is annexed along with the present application.

12. It is submitted that the proposed arrangement is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and the Scheme if sanctioned by this Tribunal, will take effect from the date of on which certified copy of the order of sanctioning of proposed Scheme, passed by this Tribunal is filed with the Registrar of Companies.

13. It has also been submitted that there are no proceedings pending inquiry or investigation in respect of the applicant company.

14. While dispensing with the meetings, this Bench also directs that notices be sent to the Central Government through the office of the Regional Director (Northern Region), the Income Tax Authorities, Registrar of Companies, NCT of Delhi & Haryana, Official Liquidator and other sectoral regulators or authorities as required under sub- section (5) of section 230 of the Companies Act, 2013 who may have significant bearing on the operation of the applicant companies along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangement, and Amalgamation) Rules, 2016. Copies of the notices along with the proof of dispatch be filed before this Bench along with the affidavit of compliance.

15. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicant.

As sequel to the above, the present application stands allowed by dispensing with the meetings of shareholders, secured and unsecured creditors of the applicant companies.

Sd-

(V.K Subburaj)
Member Technical

Sd-

(Ina Malhotra)
Member Judicial